

Table 40.1 Identification Guidelines

Characteristic	Discussion
Appearance	A head-and-shoulders bottom with multiple shoulders, multiple heads, or (rarely) both. The head is lower than the shoulders but generally not by very much.
Symmetry	The tendency for the shoulders to mirror themselves about the head is strong. The price level of the shoulders and time distance from the shoulder to head is about the same on either side of the head. The shoulders also appear to be the same shape: Narrow or wide shoulders on the left mirror the right.
Volume	Usually higher on the left side than the corresponding shoulders on the right. Overall, the volume trend recedes. Volume is usually highest on the head.
Near horizontal neckline	Connects the highest rise on the left and right of the head(s). Many, but not all, complex bottoms have near-horizontal necklines. Be suspicious of patterns with steep necklines: They may not be valid complex head-and-shoulders bottoms.
Breakout direction	A breakout occurs when price closes above the down-sloping neckline. For those cases with an up-sloping neckline, use the highest price between the head and rightmost shoulder as the breakout price. The breakout is always upward.
Confirmation	The pattern confirms as valid when price breaks out upward. If price first closes below the bottom of the head, then it's not a valid complex head-and-shoulders bottom.